

Prepared for:

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT



Continuing Disclosure Annual Report

For Fiscal Year Ended June 30, 2025

By:

URBAN FUTURES, INC.
Analytics & Compliance Group



Affected Issuance(s):

\$34,445,000

CALIFORNIA MUNICIPAL FINANCE AUTHORITY
Sewer Treatment Revenue Bonds, Series 2016
(City of San Bernardino Sewer Facilities Project)

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INTRODUCTION

I. BACKGROUND

\$34,445,000 Sewer Treatment Revenue Bonds, Series 2016

On December 28, 2016, the California Municipal Finance Authority issued its \$34,445,000 Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project) (“2016 Bonds”). The proceeds from the sale of the 2016 Bonds were used to: (i) finance the acquisition and construction of additional capital improvements to the sewer treatment utility (“Project”) of the City of San Bernardino Municipal Water Department (“Department”), (ii) purchase a Municipal Bond Debt Service Reserve Insurance Policy in satisfaction of the Reserve Requirement, and (iii) pay the costs of issuance of the 2016 Bonds. Please see the Official Statement for the 2016 Bonds, as provided online at the Municipal Securities Rulemaking Board’s (“MSRB”) Electronic Municipal Market Access (“EMMA”) document repository for further background information. Capitalized terms used but not defined herein shall have their meanings as given in the Indenture.

Interest on the 2016 Bonds is payable on February 1 and August 1 of each year, commencing on February 1, 2017, with principal payments due on August 1.

II. OBJECTIVE

Pursuant to the Continuing Disclosure section of the Official Statement and Continuing Disclosure Agreement/Certificate for the Affected Issuance(s), this Annual Report is being provided by the Dissemination Agent for distribution to the MSRB’s EMMA document repository.

This Annual Report has been prepared by Urban Futures, Inc. (“UFI”) at the direction of the Department on behalf of the City of San Bernardino (“City”). The information set forth herein has been furnished by the Department, along with other sources believed to be reliable, but no representation as to the accuracy or completeness of any such information is made by the Department or UFI. The Department and UFI make no representation that this Annual Report contains all the information material to make a decision to purchase or sell bonds or any other debt obligations of the Department. Any information contained herein which involves estimates, forecasts, projections, and expressions of opinion, whether or not expressly stated, is intended solely as such and is not to be construed as representations of fact by the Department or UFI, and no representation is made that such opinions or estimates will be realized. The information, opinions, and estimates herein are subject to change without notice. The Department and UFI

shall not take responsibility for any statements or information of any kind disseminated to the MSRB or EMMA or any other medium that is not disseminated by and authorized in writing by either the Department or UFI.

III. CUSIP NUMBERS

The CUSIP numbers below are provided for convenience of reference.

California Municipal Finance Authority Sewer Treatment Revenue Bonds, Series 2016 (City of San Bernardino Sewer Facilities Project)	
<u>Maturity Date</u>	<u>CUSIP*</u>
8/1/2017	13050TAA6
8/1/2018	13050TAB4
8/1/2019	13050TAC2
8/1/2020	13050TAD0
8/1/2021	13050TAE8
8/1/2022	13050TAF5
8/1/2023	13050TAG3
8/1/2024	13050TAH1
8/1/2025	13050TAJ7
8/1/2026	13050TAK4
8/1/2027	13050TAL2
8/1/2028	13050TAM0
8/1/2029	13050TAN8
8/1/2030	13050TAP3
8/1/2031	13050TAQ1
8/1/2032	13050TAR9
8/1/2033	13050TAS7
8/1/2035	13050TAU2
8/1/2037	13050TAW8
8/1/2041	13050TBA5
8/1/2046	13050TBF4

*CUSIP is a registered trademark of American Bankers Association.

FINANCIAL INFORMATION & OPERATING DATA

The following financial information and operating data is provided pursuant to the Continuing Disclosure section of the Official Statement and the Continuing Disclosure Agreement/Certificate.

I. FINANCIAL STATEMENTS

As outlined in Continuing Disclosure Agreement/Certificate, the financial statements required as part of the Annual Report for the fiscal year ended June 30, 2025, are separately posted to the EMMA document repository ("FY 2025 Audited Financial Statements").

II. PRINCIPAL AMOUNT OUTSTANDING

The table below presents the principal amount of the Bonds outstanding as of December 31, 2025.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Principal Amount Outstanding		
Bond Issue	Issue Amount	Amount Outstanding as of December 31, 2025
Sewer Treatment Revenue Bonds, Series 2016	\$34,445,000	\$28,075,000

Source: City of San Bernardino Municipal Water Department.

III. RESERVE FUND

In connection with the issuance of the 2016 Bonds, the Authority established the Common Reserve Account, and the 2016 Bonds were secured by the Common Reserve Account as a Common Reserve Series under the Indenture. The Common Reserve Account is funded by a Municipal Bond Debt Reserve Insurance Policy issued by Assured Guaranty Municipal Corp. ("AGM"). The table below presents the balance in the Reserve Fund as of December 31, 2025.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Reserve Fund Balance	
Bond Issue	Reserve Fund Balance as of December 31, 2025
Sewer Treatment Revenue Bonds, Series 2016	\$1,968,962

IV. TREATMENT PLANT CUSTOMERS

The table below presents a five-year historical summary of the customers of the Water Reclamation Plant (WRP).

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Treatment Plant Customers						
Customer Type	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025	% of FY 2025
City	37,801	38,796	38,626	38,996	38,260	93.04%
EVWD ⁽¹⁾	19,797	19,742	19,824	-	-	-
Loma Linda	3,179	3,208	3,355	3,304	2,863	6.96%

(1) As of the end of Fiscal Year 2023, the Department no longer provides wastewater services to properties located within the East Valley Water District (EVWD).

Source: City of San Bernardino Municipal Water Department.

V. SEWAGE TREATMENT CONNECTIONS

For a summary of the historical number of connections to the Sewer Treatment Enterprise, including for the most recently completed Fiscal Year, please see the table entitled “Sewer Treatment Connections and Revenue by User Type” in the Statistical Section of the FY 2025 Audited Financial Statements separately posted to the EMMA document repository.

VI. SOURCES OF REVENUE

For a summary of the historical sources of revenues of the Sewer Treatment Fund, including for the most recently completed Fiscal Year, please see the table entitled “Sewer Treatment Connections and Revenue by User Type” in the Statistical Section of the FY 2025 Audited Financial Statements separately posted to the EMMA document repository.

VII. TOP SEWAGE TREATMENT CUSTOMERS

For the ten largest customers of the Sewer Treatment Enterprise for the most recently completed Fiscal Year, please see the table entitled “Top Ten Sewer Treatment Customers” in the Statistical Section of the FY 2025 Audited Financial Statements separately posted to the EMMA document repository.

VIII. CURRENT SEWER RATES AND CHARGES

The table below presents the schedule of recent and current sewer rates and charges for all residential, commercial, and industrial use, including for the most recently completed fiscal year.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Current Sewer Rate Schedule					
Customer Class	Effective 7/1/2022	Effective 7/1/2023 ⁽¹⁾	Effective 7/1/2024	Effective 7/1/2025	Unit of Charge ⁽³⁾
Wastewater Service Charges (San Bernardino)					
Residential	\$ 41.99	\$ 45.35	\$ 48.98	\$ 52.90	\$/Account/Month
Multi-Family (2 Units)	83.98	90.70	97.96	105.80	\$/Account/Month
Multi-Family (3 Units)	125.98	136.05	146.94	158.69	\$/Account/Month
All Non-Residential	18.38	19.85	21.44	23.16	\$/Account/Month
Industrial	18.38	19.85	19.85	23.16	\$/Account/Month
Wastewater Service Charges (Loma Linda)					
Residential	\$ 23.33	\$ 25.20	\$ 27.22	\$ 29.39	\$/Account/Month
Multi-Family (2 Units)	46.67	50.40	54.43	58.79	\$/Account/Month
Multi-Family (3 Units)	70.00	75.60	81.65	88.18	\$/Account/Month
All Non-Residential	6.66	7.19	7.77	8.39	\$/Account/Month
Wastewater Commodity Rates⁽²⁾ (San Bernardino)					
Non-Residential: Low Strength	\$ 2.39	\$ 2.58	\$ 2.78	\$ 3.01	\$/HCF
Non-Residential: Medium Strength	3.01	3.25	3.51	3.79	\$/HCF
Non-Residential: High Strength	7.13	7.70	8.31	8.98	\$/HCF
Domestic Liquid Waste	0.0793	0.0856	0.0924	0.0998	\$/Gallons
Industrial:					
Flow	\$ 1,577.12	\$ 1,703.29	\$ 1,839.55	\$ 1,986.72	\$/MG
Biochemical Oxygen Demand	719.59	777.16	839.33	906.48	\$/1,000 lbs.
Suspended Solids	719.84	777.42	839.62	906.78	\$/1,000 lbs.
Wastewater Commodity Rates⁽²⁾ (Loma Linda)					
Non-Residential: Low Strength	\$ 1.73	\$ 1.87	\$ 2.02	\$ 2.18	\$/HCF
Non-Residential: Medium Strength	2.08	2.24	2.42	2.61	\$/HCF
Non-Residential: High Strength	5.18	5.60	6.05	6.53	\$/HCF

(1) As of the end of Fiscal Year 2023, the Department no longer provides wastewater services to properties located within the East Valley Water District (EVWD).

(2) On March 8, 2022, the Department's Water Board approved a five-year schedule of wastewater rate changes, including changes to the rate structure. The approved wastewater rate structure consolidated the Department's treatment system and collection system service charges into a single consolidated fixed commodity charge applicable to all non-residential customers. The consolidated commodity charge was effective 4/01/2022.

(3) \$/hcf is per hundred cubic feet ("hcf"); \$/MG is per millions of gallons of flow; \$/1,000 LBS is calculated by weight in pounds of biochemical oxygen demand and suspended solids in wastewater.

Source: City of San Bernardino Municipal Water Department.

IX. SEWER TREATMENT RATE

On March 8, 2022, the Department's Water Board approved a five-year schedule of wastewater rate changes, including changes to the rate structure. The approved wastewater rate structure consolidated the Department's treatment system and collection system service charges into a single consolidated fixed commodity charge applicable to all non-residential customers. The consolidated commodity charge was effective 4/01/2022 and is now reported in the Sewer Rates and Charges section of this Annual Report (see Section VIII above).

X. CUSTOMER ACCOUNTS RECEIVABLE

The table below presents a five-year historical summary, including the most recently completed Fiscal Year, of accounts receivable and shut-offs.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Sewer Customer Accounts Receivable and Shut-Offs by Fiscal Year					
	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Number of Accounts	60,777	61,746	61,805	42,507	41,123
Sewer Revenue ⁽¹⁾	\$ 30,361,116	\$ 34,171,160	\$ 45,544,260	\$ 47,385,433	\$ 45,595,642
Accounts Receivable ⁽²⁾	\$ 3,594,312	\$ 5,878,143	\$ 5,249,212	\$ 5,768,588	\$ 5,243,476
Accounts Receivable over 120 Days ⁽²⁾	\$ 1,145,490	\$ 846,558	\$ 1,102,712	\$ 1,877,774	\$ 1,541,561
% of Total Sewer Revenues ⁽³⁾	3.8%	2.5%	2.4%	4.0%	3.4%
Number of Shut-Offs ⁽⁴⁾⁽⁵⁾	0	607	1,702	2,109	841

(1) The Sewer Collection fund was combined with the Sewer Treatment fund to become the Sewer fund effective 04/01/2022.

(2) Amounts are as of June 30 and represent the receivable portion of billed customer accounts as of the end of each Fiscal Year.

(3) Percentage of Accounts Receivable over 120 days as compared to Total Sewer Revenues.

(4) Shut-Offs for non-payment may include multiple shut-offs associated with the same account throughout the Fiscal Year.

(5) Due to the COVID-19 Pandemic in the FY 2021, there were no shut-offs performed as a result of non-payment items.

XI. STATEMENT OF REVENUES, EXPENDITURES, & CHANGES IN FUND BALANCES

For the Sewer Treatment Fund Statement of Revenue, Expenditures and Changes in Fund Balance for the most recently completed Fiscal Year, please see the table entitled "Statement of Revenues, Expenses and Changes in Net Position," in the Basic Financial Statements of the FY 2025 Audited Financial Statements separately posted to the EMMA document repository.

XII. NET REVENUES & DEBT SERVICE COVERAGE

The table below presents a five-year historical summary, including the most recently completed Fiscal Year, of the revenues and expenses and debt service coverage for the Sewer Treatment Fund.

CITY OF SAN BERNARDINO MUNICIPAL WATER DEPARTMENT Net Revenues and Debt Service Coverage-Sewer Treatment Fund					
	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Revenues					
Operating Revenues	\$ 30,361,116	\$ 34,171,160	\$ 45,544,260	\$ 47,385,433	\$ 45,595,642
Interest Income on Operating Funds	19,472	(1,021,981)	1,251,526	1,521,068	1,914,250
Other Non-Operating Revenues	(38,363)	(16,310)	(15,420)	-	67,489
Capacity Charge Revenue ⁽¹⁾	1,238,590	2,294,541	2,356,198	2,012,611	1,601,407
Total System Revenues	\$ 31,580,815	\$ 35,427,410	\$ 49,136,564	\$ 50,919,112	\$ 49,178,788
Operation and Maintenance⁽²⁾					
Enterprise Expenses ⁽²⁾	\$ 22,478,516	\$ 22,465,212	\$ 36,236,522	\$ 38,940,297	\$ 39,609,846
Total Operation and Maintenance Costs	\$ 22,478,516	\$ 22,465,212	\$ 36,236,522	\$ 38,940,297	\$ 39,609,846
Net Revenues	\$ 9,102,299	\$ 12,962,198	\$ 12,900,042	\$ 11,978,815	\$ 9,568,942
Senior Lien Debt Service	\$ 1,966,900	\$ 1,967,775	\$ 1,966,900	\$ 1,964,275	\$ 1,964,775
Subordinate Lien Debt Service	-	-	-	-	-
Total Debt Service	\$ 1,966,900	\$ 1,967,775	\$ 1,966,900	\$ 1,964,275	\$ 1,964,775
Senior Lien Debt Service Coverage	-	-	-	-	-
Total Debt Service Coverage	4.63	6.59	6.56	6.10	4.87

(1) One-time fees payable at the time of development that represent a proportionate share of the cost of sewer treatment capacity.

(2) Calculated in accordance with the Installment Purchase Agreement. Operation and Maintenance Costs exclude depreciation and amortization. Non-Operating Expenses of "Gain/Loss on Asset Disposition" and "Interest Expense and Fiscal Charges" are not included.

Source: City of San Bernardino Municipal Water Department.

XIII. SIGNIFICANT EVENTS

In compliance with the Continuing Disclosure Agreement/Certificate, material event notices are posted on the MSRB's EMMA document repository at the following web address under the "Continuing Disclosure" tab:

\$34,445,000 Sewer Treatment Revenue Bonds, Series 2016

<http://emma.msrb.org/IssueView/IssueDetails.aspx?id=EP375552>